(i) Drawing of a bill

The seller (creditor) prepares the bill in the form presented above. The act of preparing the bill by the seller or creditor in its complete form with the signature is known as 'drawing' a bill.

(ii) Parties

There are three parties to a bill of exchange as under:

(a) ***Drawer:*** The person who prepares the bill is called the drawer, i.e., a creditor

(b) ***Drawee:*** The person who has to make the payment or who accepts to make the payment is called the drawee, i.e., a debtor

(c) ***Payee:*** The person who receives the payment is payee. He may be a third party or the drawer of the bill.

In the above specimen, drawer and payee is Ramesh Babu. Jothi Kumar is the drawee.

(iii) Acceptance

In a bill, drawee gives his/her acceptance by writing the word 'accepted' and signs the same with the date. Now the bill becomes a legal document enforceable in the court of law.

(iv) Due date and days of grace

When a bill is drawn payable after a specified period, the date on which the payment should be made is called '**Due date**'. In the calculation of the due date, three extra days are added to the specified period of the bills called '**Days of grace**'. If the date of maturity falls on a holiday, the bill will be due for payment on the preceding day.

Example:

Date of bill	Period of bill	Days of grace	Due date
1st March	2 months	3	4th May
12th July	1 month	3	14th August, since 15th August (being Independence day) is a public holiday.
1st October	30 days	3	3rd November



If the maturity date falls on an emergency holiday, succeeding day will be the due date for payment.

(v) Endorsement

Endorsement means signing on the face or back of a bill for the purpose of transferring the title of the bill to another person. The person who endorses is called the "Endorser". The person to whom a bill is endorsed is called the "Endorsee". The endorsee is entitled to collect the money.

(vi) Discounting

When the holder of a bill is in need of money before the due date of a bill, cash can be received by discounting the bill with the banker. This process is referred to as the discounting of bill. The banker deducts a small amount of the bill which is called discount and pays the balance in cash immediately to the holder of the bill.

(vii) Retiring of bill

An acceptor may make the payment of a bill before its due date and may discharge the liability on the bill. It is called as retirement of a bill. Usually, the holder of the bill allows a concession called rebate to the drawee for the unexpired period of the bill.

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